
Momentum Investing: Build Long-Term Wealth with the Time-Tested Momentum Factor

Five historically documented momentum strategies — from Jegadeesh-Titman to Dual Momentum — explained for the long-term Indian investor, with an education-only disclaimer.

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How to Read This Book

This book teaches **momentum investing** — the long-horizon, factor-based approach to capturing the momentum premium — through five historically documented strategies. It is the patient cousin of momentum *trading*: lower turnover, longer holding periods, and a focus on *systematic rules* over market timing.

- **Chapters 1–3** build the foundation: what momentum investing is, the evidence behind the momentum factor, and the toolkit (trailing returns, lookbacks, rebalancing, absolute vs. relative momentum).
- **Chapters 4–8** are the five strategies — the heart of the book. Each is self-contained and presented with its logic, rules, historical context, an Indian-market example, and its risks.
- **Chapters 9–10** cover portfolio construction, costs, taxes, risk, and the psychology of staying the course over years.
- The **appendix** condenses all five strategies into a quick-reference table.

A note on language: this book describes what a strategy *is* and what it has *historically* tended to do — never what you "should" do. Where results are discussed, they are framed as historical observations, not promises. You are responsible for your own decisions.

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1. What Is Momentum Investing?

A factor, not a forecast

Momentum investing is the systematic, long-horizon practice of buying assets that have *recently performed well* and avoiding (or selling) those that have performed poorly — rebalanced on a disciplined schedule. It is not about predicting which company will do well next quarter; it is about *harvesting a persistent tendency of markets*: that recent winners, on average, keep winning for a while, and recent losers keep losing.

Momentum investing differs from momentum *trading* in three ways that matter:

	Momentum trading	Momentum investing
Horizon	Weeks to a few months	Months to years
Signals	Breakouts, moving averages, price action	Trailing returns, rankings, rebalancing
Turnover	Moderate to high	Low to moderate
Mindset	Active, technical	Patient, rules-based, factor-driven

The momentum factor

In modern finance, "momentum" is a **factor** — a measurable characteristic of assets that has historically explained differences in returns, alongside size (small vs. large), value (cheap vs. expensive), and quality. The momentum factor is the observation that:

Assets that have outperformed over the past 6–12 months tend to continue outperforming over the next few months; those that have lagged tend to continue lagging.

This is one of the most robust and heavily replicated findings in empirical finance. Momentum investing is the practice of building a portfolio *tilted toward* this factor: systematically owning the winners.

The core mechanics of a momentum strategy

Every momentum-investing strategy, whatever its specific form, has the same four parts:

1. **A universe** — the set of assets to rank (stocks, sectors, countries, or asset classes).
2. **A lookback** — the window over which past performance is measured (commonly 6 or 12 months, often skipping the most recent month).

3. **A ranking and selection rule** — e.g., hold the top decile, or hold the top N names.
4. **A rebalancing schedule** — how often the ranking is refreshed (monthly or quarterly is standard).

Change any of these four knobs and you have a different momentum strategy — which is why the five strategies in this book are, at root, five different settings of the same machine.

Why it is a "patient" strategy

Momentum investing is deliberately boring. It does not react to news, does not try to time the market, and does not care *why* something is rising. It simply re-ranks on a schedule and holds. The virtue is that this mechanical patience is exactly what lets an investor capture a *persistent* edge that is hard for emotional, discretionary investors to hold — because the edge arrives in lumps (Chapter 2), with painful drawdowns in between.

The honest framing: momentum investing is a *long-game* discipline. It is not for someone who needs certainty month to month. It is for someone who can commit to a rules-based process for years and let the factor's historical tendency compound.

What momentum investing is not

- It is **not** "buying whatever went up this week" — that is chasing. Momentum uses *measured, lookback-ranked* performance and a *schedule*, not recent headlines.
- It is **not** a guarantee — momentum is a *risk premium*, not a free lunch, and it has historically suffered sharp reversals (the "momentum crash").
- It is **not** a substitute for understanding costs — turnover, taxes, and fees can consume the premium if ignored (Chapter 9).

Summary

- Momentum investing is the long-horizon, rules-based capture of the momentum factor.
- It differs from momentum trading in horizon, signals, and turnover.
- Every momentum strategy = universe + lookback + selection + rebalancing.
- It is patient and mechanical by design — and that patience is the hard part.
- Momentum is a risk premium, not a free lunch; reversals are the cost.

Next: the evidence — why this factor has persisted for decades.

2. The Evidence: Why the Momentum Factor Persists

The most studied anomaly in finance

Momentum is arguably the most thoroughly documented pattern in empirical finance.

Understanding *how strong* the evidence is — and *why* the premium has not been arbitrated away — is essential, because a long-term investor must believe in the factor enough to hold it through its inevitable painful periods.

The landmark studies

The modern momentum literature begins with **Jegadeesh and Titman (1993)**, *Returns to Buying Winners and Selling Losers*. They showed that ranking US stocks by their past 3–12 month returns and buying the winners while selling the losers produced persistent, economically significant excess returns over subsequent months. The canonical implementation — rank on the past 12 months, skip the most recent month, hold for 3–12 months — has become the reference "12-1 momentum" (also written 12-1 or 12_1) that practitioners still use.

The result has been replicated at extraordinary scale:

- **Across time** — momentum has been documented in data going back a century.
- **Across geographies** — the effect appears in developed and emerging markets alike, including Indian equities.
- **Across asset classes** — momentum exists in stocks, indices, sectors, currencies, commodities, and government bonds.

Subsequent landmark work sharpened the picture:

- **George & Hwang (2004)** showed that a stock's *nearness to its 52-week high* is a strong, robust momentum signal in its own right.
- **Moskowitz, Ooi & Pedersen (2012)** documented **time-series momentum** — the tendency of an asset's *own* past return to predict its *own* future return — across dozens of markets and asset classes.
- **Antonacci (2014)** popularised **dual momentum**, combining relative and absolute momentum into a single, practical framework.

Why it works: behaviour and risk

The premium survives for two reinforcing reasons — one behavioural, one structural.

The behavioural story

Investors are human, and systematically so:

- **Under-reaction.** Markets incorporate news gradually, not instantly. Investors *under-react* to information, then catch up — which is precisely what creates a trend a momentum investor can ride.
- **Herding.** Once a trend is visible, investors pile in, extending it beyond fundamentals.
- **Anchoring.** Investors anchor on old prices and are slow to update their view of what an asset is "worth."
- **The disposition effect.** Investors sell winners too early and hold losers too long, which *dampens* the natural selling pressure on winners (helping them keep rising) and *delays* the recovery of losers (keeping them falling).

The structural story

- **Institutional herding and career risk.** Fund managers, judged on short-term relative performance, buy what has worked — reinforcing momentum.
- **Slow-moving capital.** Large investors trade gradually to limit market impact, spreading their buying over time and *creating* the trend they are following.
- **Risk compensation.** Momentum is not pure inefficiency; it is partly *payment for risk*. Momentum strategies crash during sharp market reversals — and that tail risk is why the premium has not been arbitrated away. Investors demand compensation for bearing it.

The elephant in the room: momentum crashes

The most important thing to know about momentum is its **failure mode**. Momentum portfolios are systematically long recent winners and (in the academic long-short version) short recent losers. After a sharp market *bottom*, the losers snap back hardest — and the momentum portfolio, positioned exactly the wrong way, suffers a violent, concentrated loss. This is the **momentum crash**.

Two facts follow:

1. The premium is **real but lumpy** — long calm stretches punctuated by sharp drawdowns.
2. **Long-only momentum** (holding winners, holding cash/benchmark instead of shorting losers) sidesteps much of the crash risk, which is why most practical momentum strategies in this book are long-only, with an absolute filter.

The honest framing

This book describes momentum as "historically proven" in a precise and limited sense: the factor has been *documented and replicated* across long periods, many markets, and multiple asset classes. That is strong evidence — but it is not a guarantee, for three reasons:

- Historical persistence is evidence of a tendency, not a law of nature.
- The specific implementation (universe, lookback, rebalancing, costs) changes the realised result materially.
- The premium is compensation for *risk*, and the risk is real and periodically shows up.

Framed as this book always frames such things: *historically, portfolios tilted toward recent winners have tended to outperform over multi-year horizons — but that tendency is punctuated by sharp reversals, and the investor must be able to survive them to collect the premium.*

Summary

- Momentum is the most replicated anomaly in finance (Jegadeesh & Titman, 1993).
- Documented across time, geographies, and asset classes — including India.
- Driven by under-reaction, herding, anchoring, and the disposition effect; sustained by institutional herding, slow capital, and risk compensation.
- Momentum crashes are the known failure mode; long-only + absolute filter mitigates them.
- The premium is real but lumpy — and it is paid for bearing risk.

Next: the toolkit — the concepts and metrics the strategies use.

3. The Momentum Investor's Toolkit

The few concepts that do the work

Momentum investing needs no technical indicators. Its toolkit is a handful of *concepts and metrics* — trailing returns, lookbacks, ranking, rebalancing, and the crucial distinction between absolute and relative momentum. Master these and each strategy chapter becomes a matter of "which settings."

Trailing return

The **trailing return** is simply an asset's total return over a past window — e.g., "the 12-month trailing return" is how much the asset gained over the last 12 months. This single number is the raw material of every momentum strategy: rank on it, and you have momentum.

For a long-term investor, trailing return is usually computed on **total return** (price change plus dividends), because dividends are a meaningful part of long-horizon returns.

The lookback window

The **lookback** is how far back you measure the trailing return. Research has converged on a surprisingly consistent answer:

- **6–12 months** is the "sweet spot" for momentum.
- **The most recent month is usually skipped** (the classic "12-1" rule) because the last few weeks are dominated by short-term *reversal* — recent big movers tend to snap back — which is the *opposite* of momentum and would contaminate the signal.
- **Very short** lookbacks (days to weeks) capture reversal, not momentum.
- **Very long** lookbacks (3–5 years) capture *mean reversion* — long-term winners underperform, long-term losers recover. This is the value factor, not momentum.

So the canonical momentum lookback is "**skip the last month, measure the prior 12**" — written 12-1.

Ranking and selection

Once you have a trailing return for each asset in the universe, you **rank** them and **select** the strongest:

- **Top decile / quartile** — hold the top 10% or 25%.
- **Top N** — hold the N strongest (e.g., top 10 or top 20).
- **All above a threshold** — hold everything beating the benchmark.

The tighter the selection (top decile vs. top half), the purer the momentum tilt — but also the more concentrated and volatile the portfolio.

Rebalancing schedule

Rebalancing is how often you re-rank and reset the portfolio. The standard choices are **monthly** or **quarterly**. The schedule is a deliberate trade-off:

- **More frequent** (monthly) — closer tracking of momentum, but higher turnover and cost.
- **Less frequent** (quarterly, semi-annual) — lower cost, but slower to rotate out of fading winners.

The discipline of the *schedule* is itself the point: rebalancing mechanically enforces "sell the losers, buy the winners" on a fixed calendar, removing emotion from the decision.

The crucial distinction: relative vs. absolute momentum

This is the most important concept in the book.

- **Relative (cross-sectional) momentum** ranks assets *against each other*: "is this asset stronger than the others?" It always holds *something* — it just holds the best of the available options.
- **Absolute (time-series) momentum** compares an asset *against its own history*: "is this asset above where it was, or trending up?" It can hold *nothing* — it goes to cash when an asset (or the whole market) is below its trend.

The two answer different questions and solve different problems:

- **Relative momentum** finds the strongest assets in a rising market.
- **Absolute momentum** is the "safety brake" — it avoids holding assets in sustained downtrends, which is where most long-term damage happens.

The most robust strategies — Dual Momentum, in particular — **combine both**: use relative momentum to pick *what* to hold, and absolute momentum to decide *whether* to hold anything at all.

The universe

The **universe** is what you rank. It can be:

- **Individual stocks** (the NIFTY 500, or a liquid subset).
- **Sectors or themes** (NSE sector indices).
- **Indices or asset classes** (NIFTY, gold, bonds, global equities — the building blocks of dual momentum).
- **Funds/ETFs** (index funds, sector funds, international funds).

The universe choice determines everything downstream: costs, volatility, diversification, and how the strategy can be implemented in India. A broad, liquid universe is easier to trade and cheaper to hold.

Summary

- Trailing return (total return, 6–12 month lookback, skip the last month) is the raw signal.
- Rank on it, select the strongest, rebalance on a schedule.
- Relative momentum picks *what* to hold; absolute momentum decides *whether* to hold.
- Combining the two — relative for selection, absolute for protection — is the most robust design.
- The universe determines cost, volatility, and implementability.

Next: Strategy 1 — the canonical 12-1 cross-sectional momentum.

4. Strategy 1 — 12-1 Cross-Sectional Momentum

The canonical momentum strategy

This is the strategy that *defined* the field: the Jegadeesh-Titman construction, adapted for a long-only investor. It is the purest expression of the momentum factor, and the reference point against which every other momentum strategy is measured.

The idea

Rank a universe of stocks by their trailing return over a measured window, hold the strongest, and rebalance on a schedule. The "12-1" name encodes the exact settings: **rank on the past 12 months' return, skipping the most recent 1 month**. The skip is deliberate — the last month is dominated by short-term reversal, which would pollute the momentum signal.

The rules

Universe: a liquid stock universe — e.g., the NIFTY 500, or a hand-picked list of the most liquid names. Liquidity matters, because the strategy rebalances regularly and must be able to trade without moving prices.

Lookback: trailing **12-month total return, excluding the most recent month** (12-1).

Selection: rank the universe and hold the **top decile** (top 10%) or, more practically for a retail investor, the **top 10–20 names**.

Weighting: equal-weight the selected names (simplest, and avoids over-concentration in one name).

Rebalancing: **monthly** is the canonical choice; quarterly is a reasonable lower-turnover alternative.

Holding: hold the selected names until the next rebalance, then re-rank and rotate — selling whatever dropped out of the top group and buying whatever entered.

Historical context

This is the exact construction Jegadeesh and Titman documented in 1993, and it has been replicated across markets and decades since — including in Indian equities. The canonical result was a persistent premium to buying winners (in the long-short version, selling losers as well; the long-only version retains most of the benefit with much less risk). The premium is real but lumpy: it arrives in

stretches and suffers sharp reversals, which is why the long-only, diversified, scheduled version is the sensible retail implementation.

Framed honestly: *historically, a diversified portfolio of the strongest 12-1 performers, rebalanced monthly, has tended to outperform the broad market over multi-year horizons — with periods of significant underperformance along the way.*

A worked example (NIFTY 500)

- **Universe:** the NIFTY 500. **Lookback:** 12-month return, skip the last month. **Hold:** top 20, equal-weighted. **Rebalance:** monthly.
- At the January rebalance, compute each stock's trailing 12-1 return, rank, and hold the top 20.
- Over the next month, the top 20 drift. At the **February rebalance**, re-rank: a few names have dropped out (their momentum faded) and a few new ones have entered (their momentum accelerated).
- The investor **sells the drop-outs, buys the entrants** — mechanically rotating into the strongest names — and repeats monthly.

The result is a portfolio that is *permanently tilted toward strength*, without the investor ever forming an opinion about any individual company. The rebalance does the thinking.

Risks and limitations

- **Momentum crashes.** After a sharp market bottom, prior *losers* recover fastest, and the portfolio — holding prior *winners* — can lag sharply for a period. This is the strategy's known, unavoidable risk.
- **Turnover and costs.** Monthly rotation generates trading; STT, brokerage, and impact costs must be low, or they consume the premium. (In India, this favours larger, liquid names and possibly a quarterly rather than monthly schedule.)
- **Concentration and style drift.** Holding only 10–20 names is concentrated; the portfolio can also become heavily tilted to one or two sectors that happened to lead.
- **Discipline burden.** The premium arrives in lumps; underperformance stretches test the investor's commitment (Chapter 10).

Summary

- Rank on 12-1 trailing return; hold the top decile / top N; rebalance monthly.
- The canonical Jegadeesh-Titman strategy, replicated across markets including India.
- Long-only, equal-weighted, diversified version retains most of the edge with less risk.
- Main risks: momentum crashes, turnover costs, concentration, and discipline.

Next: Strategy 2 — absolute momentum, the 200-day filter that keeps you out of bear markets.

5. Strategy 2 — Absolute Momentum (the 200-Day Filter)

The safety brake

If relative momentum picks *what* to hold, **absolute momentum** decides *whether* to hold anything. Its most practical form is a single, famous rule: **be invested when price is above its 200-day moving average, and be out (in cash or defensive assets) when it is below.** It is the simplest, best-documented way to avoid the deep drawdowns that destroy long-term compounding.

The idea

The greatest enemy of long-term wealth is not missing the best days — it is *staying invested through the worst ones*. Absolute momentum attacks this directly. A sustained downtrend is visible, mechanically, as price trading below its 200-day average; the rule simply steps aside during those periods.

The insight, drawn from decades of tactical-asset-allocation research (most famously associated with Meb Faber's work): much of a market's long-term *return* can be captured while avoiding a large share of its *drawdown* — simply by being out of the market during sustained downtrends.

The rules

Universe: a broad market index (NIFTY, BankNIFTY, or a total-market proxy), or any asset you intend to hold.

Signal: compare the index's price to its **200-day simple moving average** (a widely-used proxy for "long-term trend"; the 10-month MA is an equivalent choice).

Position: - **Above the 200-day MA** → invested (long the index). - **Below the 200-day MA** → out (cash, or a defensive asset like liquid funds/short-duration debt).

Rebalancing: check the signal **monthly** (at month-end) — this is the standard, low-turnover frequency; checking daily adds whipsaw without much benefit.

Holding: stay in your state until the monthly check flips the signal.

Historical context

The "above the 200-day MA = in, below = out" rule is one of the most tested rules in finance. In Faber's widely-cited study (and many replications across markets), a simple 10-month/200-day timing rule applied to equities historically produced returns *comparable to buy-and-hold* while

materially **reducing maximum drawdown** and improving risk-adjusted return — across US and international markets, over many decades. The mechanism is not prediction; it is *avoidance*: the rule misses the worst, most damaging stretches of bear markets.

Framed honestly: *historically, being invested only while the market trades above its 200-day average has tended to avoid a large fraction of major drawdowns, at the cost of some whipsaw and the occasional late re-entry.*

A worked example (NIFTY)

- NIFTY is in a downtrend, trading below its 200-day MA. The investor is **in cash** (or a liquid fund), preserving capital while the market falls 25%.
- A recovery begins. At the **month-end check**, NIFTY has closed **above its 200-day MA**. The investor **moves to fully invested** — late to the bottom, but safely after the trend has visibly turned.
- NIFTY trends higher for months. The investor **remains invested** through the entire move, re-checking monthly.
- A new bear market begins. At a **month-end check**, NIFTY closes **below its 200-day MA**. The investor **exits to cash**, missing the worst of the decline.

Result: the investor sacrifices the first leg of recoveries (waiting for confirmation) and the last leg of bull markets (waiting for the breakdown), but **avoids the bulk of major drawdowns** — and, because compounding is asymmetric (a 50% loss requires a 100% gain to recover), avoiding drawdowns is worth more than catching every up-move.

Risks and limitations

- **Whipsaw.** In choppy, range-bound markets, price crosses the 200-day MA repeatedly, generating false exits and re-entries — each a small cost. This is the rule's known weakness, and it is why the monthly (not daily) check matters.
- **Late exits and re-entries.** The rule always acts *after* the trend has broken — it never catches the exact top or bottom, only the middle. The investor must accept being "late."
- **Underperformance in strong, sustained bull markets.** In a long one-way bull run, a timing rule occasionally steps out and misses a leg, lagging buy-and-hold during that stretch.
- **Single-asset application.** Used alone on one index, the strategy is fully in or fully out — no diversification of the timing decision.

Summary

- Be invested above the 200-day MA, in cash below; check monthly.
- Historically avoids a large share of major drawdowns at comparable long-term return.

- The value is *avoidance*, not prediction; compounding is asymmetric.
- Weaknesses: whipsaw in ranges, late entry/exit, lag in one-way markets.
- Best combined with relative momentum (next chapter) rather than used alone.

Next: Strategy 3 — dual momentum, combining relative and absolute momentum.

6. Strategy 3 — Dual Momentum

Relative and absolute momentum, combined

Dual momentum — popularised by Gary Antonacci in his book *Dual Momentum Investing* (2014) — is the strategy that unites the two ideas from the previous chapters: use **relative momentum** to pick *what* to hold, and **absolute momentum** to decide *whether* to hold it. The combination is widely considered one of the most robust, practical momentum frameworks available to an individual investor.

The idea

Each half of dual momentum solves a problem the other cannot:

- **Relative momentum** finds the strongest asset *among the options* — but it always holds *something*, so it cannot protect you when *everything* is falling.
- **Absolute momentum** steps to safety when an asset is below its own trend — but it does not tell you *which* asset to hold when conditions are good.

Dual momentum runs both: rank the assets by relative momentum, then apply an absolute-momentum filter so that if even the *strongest* asset is below its own trend, the portfolio moves to safety. The result is a strategy that **rides the strongest asset when markets are healthy and retreats to cash when they are not.**

The rules (the canonical version)

Universe: a small set of distinct, liquid assets — classically, US equities, international equities, and (as the safety asset) bonds/cash. In an Indian context, a natural set is: **Indian equities (NIFTY), international equities (a global index/fund), gold, and short-duration debt/liquid funds.**

Lookback: trailing **12-month return** for relative momentum.

Step 1 — Relative momentum: each month, rank the "risk" assets (Indian equities, international equities, gold) by their trailing 12-month return and identify the **single strongest** one.

Step 2 — Absolute filter: compare that strongest asset's current price to its **12-month (or 200-day) moving average**. If it is **above** its trend, hold it. If **below**, hold the **safety asset** (short-duration debt / liquid funds).

Rebalancing: monthly — recompute the ranking and the filter.

Hold: one asset at a time. The portfolio is always in *exactly one* position: the strongest risk asset, or safety.

Historical context

Antonacci's work — and the independent research on the two underlying components — documents that this combination has historically produced strong risk-adjusted returns across long periods and many markets, precisely because it attacks the two problems separately: relative momentum captures leadership, absolute momentum avoids bear markets. The framework has become one of the standard references for systematic tactical allocation.

Framed honestly: *historically, a dual-momentum allocation — strongest asset when it is trending up, safety when it is not — has tended to deliver equity-like returns with materially smaller drawdowns, over multi-decade horizons, across markets.*

A worked example (an Indian allocation)

Universe: **NIFTY, a global equity index fund, gold, and liquid funds (safety).**

- At the January check, trailing 12-month returns: gold +22%, NIFTY +14%, global equities +8%.
- **Strongest risk asset:** gold. Is gold above its 12-month MA? **Yes.** → **Hold gold.**
- At the April check, the ranking has changed: NIFTY +18%, gold +9%, global +12%.
- **Strongest risk asset:** NIFTY. Above its 12-month MA? **Yes.** → **Rotate to NIFTY.**
- At the October check, markets have fallen: NIFTY −12%, global −9%, gold +3%.
- **Strongest risk asset:** gold. Above its 12-month MA? **No** (gold has also slipped below trend).
- → **Hold the safety asset (liquid funds)** — out of all risk assets during the downturn.

Result: the portfolio rode gold, then NIFTY, then stepped to safety before the worst of the decline — one asset at a time, decided monthly, with no discretion.

Risks and limitations

- **Whipsaw and turnover.** The strategy changes position monthly, and in choppy markets it can switch frequently, each switch a small cost and a potential "buy high, sell low" on the transition.
- **Single-asset concentration.** The portfolio holds *one* asset at a time, so it is fully exposed to that asset's idiosyncratic risk in any given month.
- **The safety asset matters.** The strategy is only as good as its "safety" leg; if that leg is itself volatile, the downside protection is weakened.
- **Taxes in India.** Monthly switching between funds/ETFs can trigger short-term capital gains and exit loads, which materially affect net returns — the schedule and vehicle choice must be tax-aware.

Summary

- Relative momentum picks the strongest asset; absolute momentum gates it behind a trend filter.

- One position at a time: the strongest risk asset, or safety.
- Historically equity-like returns with smaller drawdowns (Antonacci).
- Risks: whipsaw, concentration, the quality of the safety leg, and tax/exit-load costs in India.

Next: Strategy 4 — 52-week high investing.

7. Strategy 4 — 52-Week High Investing

The year's most salient price

The **52-week high** is the highest price an asset has traded at in the past year — and it is one of the most psychologically *salient* numbers in a stock's history, because it is printed everywhere and watched by everyone. The 52-week high strategy turns that salience into a systematic selection rule.

The idea

Conventional intuition says a stock at a new 52-week high is "expensive" and likely to fall. The evidence says the opposite: stocks *near* their 52-week high have historically been among the strongest performers going *forward*. The reason is behavioural — the 52-week high acts as an **anchor**. Investors under-react to a stock reaching new highs, mentally comparing it to the lower prices they remember; that sluggishness means the stock's rise is not fully priced, and it tends to continue.

This strategy was formalised by **George and Hwang (2004)** in *The 52-Week High and Momentum Investing*, which showed that a stock's **proximity to its 52-week high** predicts future returns about as well as — and in some tests better than — the standard 12-month momentum measure.

The rules

Universe: a liquid stock universe (the NIFTY 500, or a liquid subset).

Signal — the "52-week high ratio": for each stock, compute

$$\text{52-week high ratio} = \text{current price} \div \text{52-week high}$$

A ratio of **1.0** means the stock is *at* its 52-week high; 0.80 means it is 20% below it.

Selection: rank the universe by this ratio and hold the stocks **closest to (or at) their 52-week high** — e.g., the top decile, or all stocks within 5% of their high.

Rebalancing: **monthly or quarterly**, re-ranking by the ratio.

Exit / rotation: a stock is sold when it falls away from its high — i.e., when it drops out of the "near the high" group at a rebalance. (A stop or a longer MA can be added for downside protection.)

Historical context

George and Hwang's finding is one of the strongest in the momentum literature: nearness to the 52-week high captures momentum *without* needing a specific return window, and it has been shown to

hold internationally. The intuitive appeal is that it is a *simple, robust* single-number signal — you do not need to compute trailing returns or choose a lookback; you just ask "how close is it to its year high?"

Framed honestly: *historically, stocks trading at or near their 52-week highs have tended to outperform the broader market over the following months — a statistical tendency, not a guarantee for any individual name.*

A worked example (NIFTY 500)

- **Universe:** NIFTY 500. **Signal:** price $\div$ 52-week high. **Hold:** stocks with a ratio ≥ 0.95 (within 5% of their high). **Rebalance:** quarterly.
- At the quarter's start, ~40 stocks qualify. The investor holds them, equal-weighted.
- Over the quarter, some of those stocks break to *new* highs (strength confirmed) while others pull back 10–15% (dropping below the 0.95 threshold).
- At the **next rebalance**, the laggards are **sold** (they no longer qualify) and the new qualifiers are **bought**.

The result is a portfolio that is *always* concentrated in stocks demonstrating the strongest form of momentum — proximity to new highs — with the rebalance doing all the selection.

Risks and limitations

- **The signal is a ranking, not a timing rule.** Holding "near the high" stocks in a broad bear market still loses money — the strategy needs an absolute filter (Strategy 2) to step aside in downtrends.
- **Failed breakouts.** Some stocks at new highs reverse immediately (especially on news-driven gaps). Diversification across many names, not one bet, is essential.
- **Concentration and churn.** A tight threshold (≥ 0.95) yields a small, shifting portfolio; a looser one dilutes the signal. There is a trade-off to manage.
- **Market dependence.** The effect is far stronger in rising markets than falling ones.

Summary

- Buy stocks at or near their 52-week high; rotate quarterly by the 52-week-high ratio.
- Grounded in George & Hwang (2004) — a robust, simple momentum signal.
- The 52-week high is an anchor investors under-react to.
- Needs an absolute filter for bear markets and diversification for failed breakouts.

Next: Strategy 5 — sector and index momentum rotation.

8. Strategy 5 — Sector and Index Momentum Rotation

Momentum at the level of baskets

The strategies so far rank *individual stocks*. This one ranks **sectors and indices** — baskets of stocks — by trailing return and rotates among them. It is the same momentum factor, applied one level up, and it is often the *most practical* way for a retail investor to run momentum: fewer positions, lower cost, and less idiosyncratic (single-company) risk.

The idea

Sector leadership persists. A sector that has outperformed over the past 6–12 months — say, Banking or IT or Capital Goods — has historically tended to keep leading over the next few months, because the forces driving it (earnings cycle, policy, capital flows) are slow-moving. Rotating into the leading sectors and out of the lagging ones captures that persistence, without needing to pick individual winners within each sector.

Ranking *baskets* rather than *stocks* has a second advantage: it removes company-specific blow-up risk. One stock can collapse on a fraud or an earnings miss; an entire sector rarely does.

The rules

Universe: a set of liquid sector or index instruments. In India this means **NSE sector indices** (Banking, IT, FMCG, Auto, Pharma, Energy, Metals, Realty, Infrastructure, and so on) — implemented via **sector index funds/ETFs**, or, where those are unavailable, a representative liquid stock basket.

Lookback: trailing **6- or 12-month return** (skip the most recent month, per the standard 12-1 convention).

Selection: rank the sectors and hold the **top 2–5** (the strongest), equal-weighted.

Rebalancing: monthly or quarterly — re-rank, and rotate: sell the sectors that dropped out of the top group, buy those that entered.

Optional absolute filter: when the broad market (NIFTY) is below its 200-day MA, reduce or move to cash — because sector rotation is long-only and loses in broad bear markets.

Historical context

Sector momentum is the cross-sectional momentum factor applied to industry portfolios, and the same persistence has been documented at the sector level across markets. It is also the natural implementation of "theme" investing in India, where sector indices and funds are widely available. The academic and practitioner literature is consistent: *recent relative sector strength has historically tended to persist over multi-month horizons.*

Framed honestly: *historically, a portfolio rotating into the strongest sectors and out of the weakest, rebalanced monthly or quarterly, has tended to outperform the broad index over long horizons — with concentrated sector risk along the way.*

A worked example (NSE sectors)

- **Universe:** 10 major NSE sector indices. **Lookback:** 6-month return (skip last month). **Hold:** top 3, equal-weighted. **Rebalance:** monthly.
- At the January rebalance, the top 3 sectors by trailing return are **Banking, IT, and Auto**. The portfolio holds those three sector funds.
- Over the next month, IT fades and **Pharma** surges. At the **February rebalance**, Pharma has displaced IT from the top 3.
- The investor **sells the IT sector fund and buys the Pharma sector fund** — mechanically following leadership — and continues monthly.

The result is a portfolio that is *always* tilted toward the three strongest sectors, with only a handful of holdings and a handful of trades per month — far simpler to run, and cheaper, than a 20-stock momentum book.

Risks and limitations

- **Sector concentration.** Holding only 2–5 sectors is a concentrated bet; if one leading sector reverses hard, the portfolio is hit hard. This is the price of the strong momentum tilt.
- **Turnover and fund costs.** Monthly rotation across sector funds incurs exit loads, STT (on ETFs), and transaction costs, and sector funds carry their own expense ratios — all of which eat into the premium. In India, quarterly rotation and low-cost index funds/ETFs mitigate this.
- **Bear markets.** Long-only rotation loses in broad downturns; the absolute (200-day) filter is the standard defence.
- **Benchmark divergence.** The portfolio will frequently look very different from the NIFTY, and can underperform it for stretches — which is hard to hold (Chapter 10).

Summary

- Rank sectors/indices by trailing return; hold the top few; rotate on a schedule.
- Momentum applied to baskets: fewer positions, lower cost, less idiosyncratic risk.

- Leadership persists; rotation captures it without picking stocks.
- Risks: sector concentration, turnover/fund costs, bear markets, and benchmark divergence.

Next: portfolio construction, costs, and taxes — where momentum is won or lost in India.

9. Portfolio Construction, Costs, and Taxes

Where momentum is actually won or lost

The momentum factor is real, but it is *small at the margin* — a few percentage points a year at best — while the frictions of real investing are also measured in percentage points. **A momentum strategy that ignores costs and taxes will hand its entire edge to the broker and the government.** This chapter covers the practicalities that decide whether momentum works *for you*.

Portfolio construction: the rules of combination

Most investors run more than one strategy, or a momentum strategy alongside other holdings. The principles:

1. **Keep the tilt, not the whole book.** A sensible approach is a *core-satellite* structure: a broad index core plus a momentum "satellite" that implements the factor. This limits the risk that a momentum crash sinks the entire portfolio.
2. **Diversify the universe, not the conviction.** Within the momentum sleeve, hold enough names (or sectors) that no single holding dominates — but not so many that the momentum tilt is diluted. The sweet spot is usually 8–20 names, or 2–5 sectors.
3. **Respect the absolute filter at the portfolio level.** The single most valuable risk control is a broad-market trend filter (200-day MA) that de-risks the momentum sleeve in bear markets. Apply it to the *whole* momentum allocation, not name by name.
4. **Rebalance on a schedule, not on news.** The calendar is the discipline. Monthly or quarterly, whatever you chose — stick to it.

Costs: the silent edge-killer

Every implementation of momentum trades, and every trade has a cost:

- **Brokerage** — per-trade or flat-fee.
- **STT and exchange charges** — on the sell side of equities and on ETFs.
- **Stamp duty** — on the buy side.
- **Bid-ask spread and market impact** — the difference between the price you see and the price you get; larger in illiquid names.
- **Fund expense ratios and exit loads** — if implemented via index funds or ETFs, especially sector funds.

The rule of thumb: **costs scale with turnover, and turnover is a choice**. A monthly 20-stock rotation is far more expensive than a quarterly 5-sector rotation. In India specifically, where equity STT and (for funds) short-term exit loads can be meaningful, the *lower-turnover* variants of every strategy in this book are usually the better net-net choice. Before committing, estimate the annual turnover cost and ask: *is the expected momentum premium larger than this?* If not, trade less.

Taxes: the other silent edge-killer

Indian taxation is turnover-sensitive and horizon-sensitive:

- **Equities:** short-term capital gains (held under a year) are taxed at a higher rate than long-term gains (held over a year), and long-term gains carry a partial annual exemption below a threshold that has changed in past budgets — **check the current Income Tax Act figure and rate before relying on either number**; this book deliberately does not state one, because a stale tax figure is worse than none.
- **Funds/ETFs:** exit loads and the short-vs-long holding distinction apply similarly; debt/gold instruments have their own treatment.

The implication for momentum is direct: **frequent rotation realises short-term gains**, which are taxed at the higher rate. This does two things:

1. It **favours longer lookbacks and less frequent rebalancing** (quarterly or semi-annual) for taxable accounts.
2. It **favours tax-aware vehicles** — index funds and ETFs (and, where appropriate, tax-deferred structures) over frequent stock churn.

The honest summary: *a momentum strategy that is beautiful before taxes can be mediocre after them*. Design for the after-tax outcome.

The discipline of the rebalance

One under-appreciated point: the rebalance is not just a mechanical chore — it is the *source of the edge*. Momentum only works because you **systematically sell what has weakened and buy what has strengthened, on schedule, without hesitation**. Skipping rebalances "because it's been working" or "because this time feels different" quietly converts a momentum strategy into a buy-and-hold portfolio — and loses the factor.

The investor who rebalances faithfully is doing the one thing that actually generates the premium; the costs and taxes are simply the *price* of that discipline, to be minimised, not avoided by inaction.

Summary

- Run momentum as a satellite around a broad core; diversify the universe; apply a broad trend filter.

- Costs scale with turnover — favour lower-turnover variants and liquid instruments.
- Frequent rotation realises short-term capital gains; design for the after-tax result.
- The rebalance is the source of the edge — skip it and you lose the factor.

Next: the final chapter — risk and psychology for the long-term momentum investor.

10. Risk and Psychology for the Long-Term Investor

The hardest part of momentum is patience

The strategies in this book are simple to state and genuinely hard to *hold*. The difficulty is not intellectual; it is psychological — because the momentum premium arrives in **lumps**, with long stretches of underperformance in between. This chapter names the risks and the discipline required to stay the course.

The two big risks

1. The momentum crash

Momentum portfolios hold recent winners. After a sharp market *bottom*, the prior **losers** recover fastest, and the portfolio — positioned in the prior winners — can lag the market dramatically for a period. This is not a hypothetical tail; it is the *known, recurring* failure mode of momentum.

The defence is structural, not psychological:

- **Long-only** momentum (hold winners, hold cash/benchmark — not shorting losers) avoids the worst of the crash.
- The **absolute filter** (200-day MA) steps the portfolio aside in sustained downtrends.
- **Diversification** across names/sectors limits any single reversal's damage.

Even so, the investor must accept that momentum *will* occasionally and sharply underperform — and that this is the premium's price, not proof the strategy is broken.

2. The discipline to hold through underperformance

The second risk is subtler: **quitting**. Momentum underperforms the broad index for stretches — sometimes a year or more. During those stretches, it *looks* broken, and the investor is tempted to abandon it — usually at the exact bottom, right before the factor rebounds. This "strategy abandonment at the worst moment" is the single most common way momentum investors destroy their own returns.

The psychology of holding

The specific psychological traps, and their defences:

Trap 1: confusing a drawdown with a broken strategy

A momentum drawdown *feels* like evidence the strategy no longer works. But a drawdown is the *expected* behaviour of a strategy whose returns come in lumps. **Defence:** decide your evaluation horizon *in advance* — momentum is judged over 5–10 years, not quarters — and refuse to re-evaluate mid-drawdown.

Trap 2: loss aversion in the rebalance

The rebalance will occasionally force you to sell a loser (painful) and buy something that just ran up (feels like chasing). **Defence:** the rebalance is mechanical precisely *because* the feelings will be wrong at the moment of decision. Follow the calendar.

Trap 3: chasing recency

When momentum is working, it is tempting to concentrate harder, add leverage, or trade more. When it is lagging, it is tempting to "wait for confirmation" and sit out. Both are recency bias.

Defence: the allocation and schedule are fixed; change them only through a pre-committed review process, never reactively.

Trap 4: the itch to intervene

A patient, rules-based strategy is boring. The boredom invites "improvements" — tweaks that are really un-tested deviations. **Defence:** any change must be tested over the same long horizon the strategy itself is judged on; otherwise, it is noise.

The practices that keep you in the game

1. **Write the rules down.** A one-page system document — universe, lookback, selection, rebalance schedule, absolute filter — is a contract with your future self.
2. **Automate what you can.** A calendar, a checklist, or a systematic rebalance removes the in-the-moment decision.
3. **Measure in decades.** Momentum is a multi-decade factor. Judge it on the horizon it was designed for.
4. **Separate the process from the outcome.** A losing year that followed the rules is a process success; a winning year that broke them is a future disaster.
5. **Accept the premium's price.** The drawdown is the fee for the excess return. An investor who cannot pay it will not collect the return.

The honest bottom line

Momentum investing is not hard because it is complicated — it is hard because it is **simple and uncomfortable**. The factor is real, the rules are easy, and the entire battle is one of *staying the course* through the periods when the strategy looks wrong. The investor who can follow the calendar,

honour the filter, and hold through the drawdowns has already done the hard part. Everything else is arithmetic.

Summary

- Two big risks: the momentum crash, and quitting during underperformance.
- The crash is defended structurally (long-only, absolute filter, diversification).
- Quitting is defended psychologically (fixed horizon, written rules, automation).
- The rebalance is mechanical because the feelings will be wrong at decision time.
- The premium's price is the drawdown; pay it, or don't collect the return.

This completes the main text. The appendix condenses all five strategies into one reference table.

Appendix — Strategy Quick-Reference Table

This table is a summary, not a substitute for the full chapters. Adjust lookbacks, universes, and rebalance schedules to your own costs, taxes, and risk tolerance.

#	Strategy	Signal / ranking	Selection	Rebalance	Key risk
1	12-1 cross-sectional	12-month return, skip last month	Top decile / top 10–20 stocks	Monthly	Momentum crash; turnover cost
2	Absolute momentum	Price vs. 200-day MA	In or out (cash)	Monthly	Whipsaw; late entry/exit
3	Dual momentum	12-month relative + 12-month/200-day filter	Single strongest asset, or safety	Monthly	Whipsaw; concentration
4	52-week high	Price ÷ 52-week high	Near/at the high	Monthly/quarterly	Failed breakouts; bear markets
5	Sector rotation	6–12 month sector return	Top 2–5 sectors	Monthly/quarterly	Sector concentration; fund costs

The common machinery

Every strategy reduces to four settings:

1. **Universe** — what you rank.
2. **Lookback** — over what window (6–12 months, skip the last month).
3. **Selection** — top decile, top N, or above a threshold.
4. **Rebalance** — the schedule that enforces "sell weakness, buy strength."

The universal rules

- **Combine relative + absolute momentum** wherever possible (relative picks *what*, absolute decides *whether*).
- **Add a broad 200-day filter** to avoid bear markets.
- **Minimise turnover** — the lower-cost, lower-tax variant usually wins net.
- **Run momentum as a satellite** around a broad core, not the whole portfolio.
- **Judge over 5–10 years, not quarters** — the premium is lumpy by design.